INVESTMENT COMMITTEE MEMO

Halyk Bank of Kazakhstan JSC

LSE: HSBK - Kazakhstan's dominant bank at 4.5x earnings and a 13% yield; 2026 is the earnings trough and the ALMEX lock-up expiry is the entry point

RECOMMENDATION: BUY

12-MO TARGET: US$38.0 (+14%)

Reference price US$33.30 / GDR (40 sh)	52-wk range US$22.90-36.45	Mkt cap US$9.1bn / KZT4.1trn	P/B (Jun-26) 1.12x
Dividend FY25 KZT58.19 (15.6% yield)	Largest holder ALMEX ~62%	ROAE FY25 / 1H26 32.6% / ~25%	Next event 9M26 results, mid-Nov

4.5x

P/E 2026E vs peer median ~7.5x

13.2%

FY26E dividend yield at a 60% payout

US$38.0

12-mo target; ~27% total return incl. dividends; prob-weighted US$38.9

Buy: a 25% ROE franchise at 4.5x earnings; use the ALMEX overhang to build the position

4.5x
2026E P/E (4.1x 2027E); ~40% below the peer median P/E of 7.5x

13.2%
FY26E dividend yield (60% payout); FY25 paid KZT58.19, +15%

19.0%
k2 = CET1 capital ratio; ~700bp over the 12% minimum; ~KZT850bn surplus [e]

US$38.0
12-mo target (+14%); with ~US$4.3 of dividends, ~27% total return

25%
Bear-case probability (US$23.5, -29%); bull US$56.2 (+69%)

Why now - four forces converging

- **Earnings trough is visible:** 1H26 NI -15% (MRR, BNPL rules, 25% bank CIT, VAT on fees); we forecast KZT900bn for 2026E, then +9% p.a.
- **Rate cuts:** NBK down 225bp to 15.75% (23-Oct); deposit costs lag, but volumes and credit quality improve from 2027
- **Supply event:** ALMEX's 365-day lock-up ends ~25-Nov-26; it plans to keep >=51% (~11pp saleable)
- **Sovereign upgrade:** S&P to BBB (Aug-26); Halyk's S&P outlook positive; strong tenge

What has to go right

- NIM bottoms at ~6.5% in 2027 (6.8% in 1H26), not below 6.2%
- Retail NPL 90+ (9.2%) is mostly 'mechanical' - the collector-sale pause - and CoR stays ~1.5%
- Payout holds at ~60% (DPS FY26E KZT49.5) despite the new 2% retail buffer
- No permanent bank levy: the 2025 10% excess-profit tax stays a one-off

Position sizing: value/income with an event overlay, medium conviction. Buy a third of the position now; add on the 9M26 print (mid-Nov) and any ALMEX placement after ~25-Nov (Nov-25 precedent: ~10% discount, then +31% in six weeks). Review triggers: dividend-policy change, NIM below 6.4%, any profit levy, block above 5% at a >15% discount.

Halyk at a glance - #1 bank with 28% of assets and half of corporate lending

What it does

- The former State Savings Bank. The 2017 rescue-merger with Kazkommertsbank (bought for KZT2) made it the clear #1
- **Market shares:** ~48% of corporate loans, 27% of retail deposits, 17.8% of retail loans; 531 branches; Super App 8.6m MAU
- **Revenue mix (FY25):** NII 73%, fees 8%, insurance 4%, FX/other 15%; cost/income 17.5%
- Kazakhstan is ~98% of profit; exited Russia, Tajikistan (2022) and Kyrgyzstan (2024); Georgia and Uzbekistan remain
- Controlled by ALMEX (Kulibayev family) ~62%; GDRs ~35%; ~28% of MSCI Kazakhstan

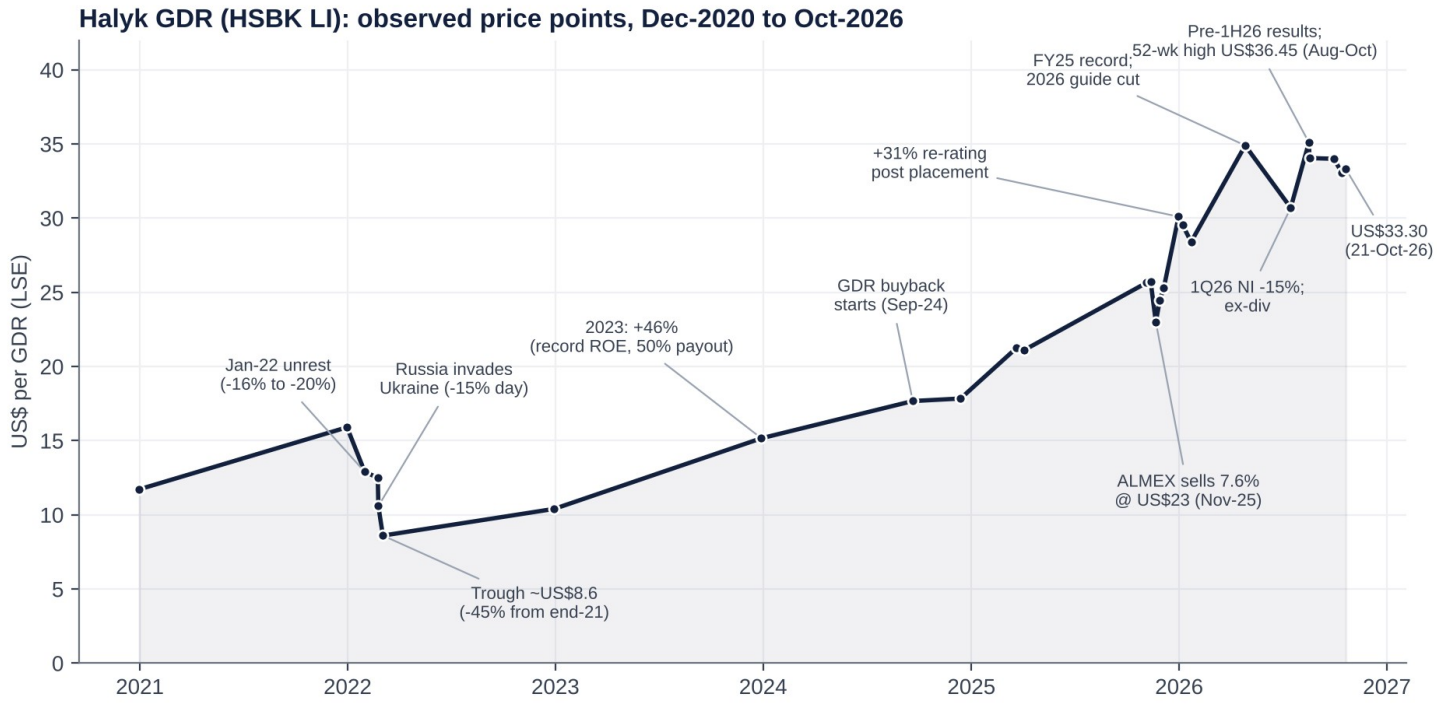
Key financials (KZT bn)

	FY23	FY24	FY25	1H26	Trend
Net interest income	797	1,108	1,288	658	+2.6% y/y
Net income	**693**	**921**	**1,058**	**448**	**-15.3% y/y**
ROAE	32.5%	34.0%	32.6%	~25%	Peak passed
NIM	6.2%	7.2%	7.1%	6.8%	MRR -40bp
Cost / income	19.2%	17.6%	17.5%	19.2%	Guide 18-20%
Cost of risk	1.0%	1.2%	1.4%	1.4%	Guide 1.4-1.5%
NPL 90+	n/a	2.6%	4.3%	5.3%	Retail 9.2%

Source: Halyk results releases; 2023 restated (IFRS 17).

The single most distinctive fact: Halyk earned a 30%+ ROE for five straight years with a 17-20% cost/income ratio and a 19% all-CET1 capital ratio, yet trades at 1.1x book and 4.5x forward earnings - the market prices a ~20% sustainable ROE at a 19.5% KZT cost of equity.

Unrest and war (2022), re-rating (2023-25), ALMEX placement (Nov-25), trough earnings (2026)



Points are observed closes/trades from RNS, broker notes and exchange pages; lines join observed points (not a continuous series). End-2020 and end-2021 derived from KASE/aggregator data [e

Key catalysts

Date	Event
JAN 2022	Unrest: GDR -16% to -20%
FEB-MAR 2022	Russia invades; -45% to ~US$8.6
DEC 2022	Exits Russia & Tajikistan
2023 / 2024	+46% / ~+29%: record ROE, payout to 60%
NOV 2025	ALMEX sells 7.6% at US$23
DEC 2025	+31% re-rating to ~US$30
MAR 2026	First guided profit decline
AUG 2026	1H26 miss (-14% vs cons.); high US$36.45
23 OCT 2026	NBK cuts to 15.75%; GDR US$33.30

Cheapest high-ROE bank in the peer set - but at the top of its own range

Metric	Halyk	Kaspi	BCC	Lion Fin.	TBC	OTP	PKO BP	Garanti
P/E (LTM)	4.2x	~7.5x	~3.1x	~8.0x	5.9x	~11.1x	~14.0x	~4.1x
P/B	1.12x	~3.7x	~1.0x	~1.9x	1.4x	~2.3x	2.56x	1.46x
ROE	~27%	~55%	~36%	27%	~24%	22%	19.5%	28%
P/Revenue (bank EV/Sales)	2.3x	2.7x	1.6x	4.1x	2.5x	4.4x	4.8x	n/a
PBT margin (bank EBIT margin)	74%	~42%	63%	60%	49%	52%	45%	n/a
Dividend yield	15.6%	~8.5%	0%	n/a	~6%	n/a	~5%	n/a

Snapshots Jun-Oct 2026 [u]; FY25 income. P/Revenue = market cap / total operating income. Garanti on IAS 29 (no revenue multiple).

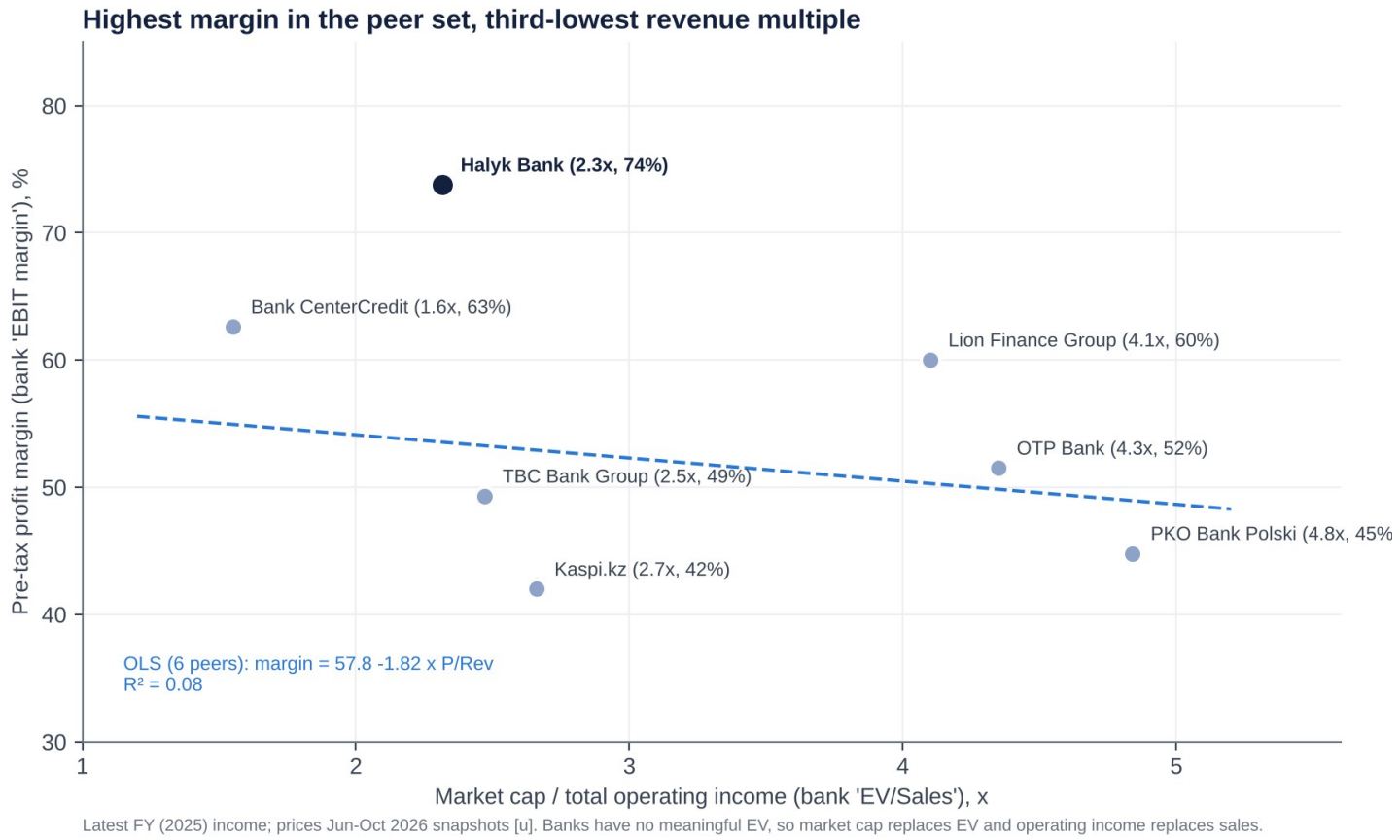
What the comparison shows

- ~40% discount to the peer median on P/E (7.5x) and P/B (1.9x), despite a top-half ROE and the highest pre-tax margin (74%)
- On the P/B-ROE line (R2 0.24) Halyk 'should' trade at ~1.9x book; it trades at 1.1x
- Justified P/B ~1.35x (ROE 23.5%, COE 19.5% KZT, g 8%)

The honest counter-read

- Against its own history it is not cheap: 5-yr average P/E 3.4x and P/B 0.95x; now 4.2x and 1.12x after +314% in 3 years
- The discount is partly structural - controlling family, state appetite for bank profits, tenge risk; we do not underwrite peer multiples

Regression: highest margin, third-lowest revenue multiple

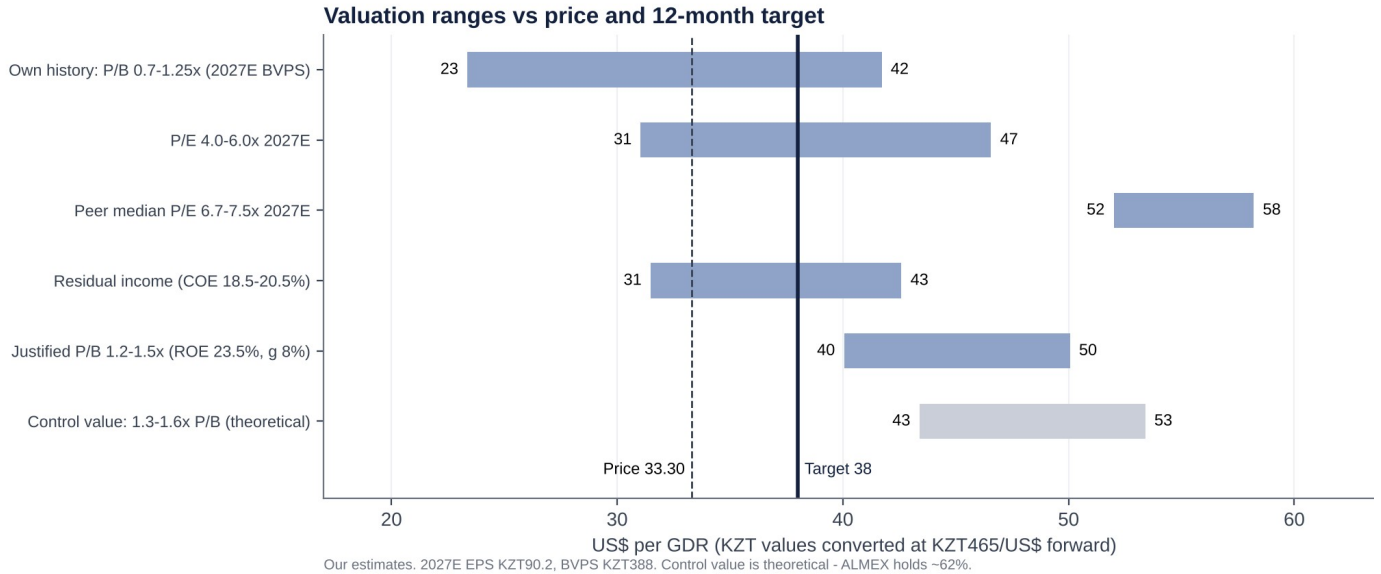


Latest FY (2025) income; prices Jun-Oct 2026 snapshots [u]. Banks have no meaningful EV, so market cap replaces EV and operating income replaces sales.

How to read it

- As requested: x-axis = 'EV/Sales' (bank version: market cap / operating income); y-axis = 'EBIT margin' (pre-tax margin)
- **Peer OLS:** margin = 57.8 - 1.82 x P/Rev; R2 = 0.08 - no cross-sectional link; country risk, not margin, sets the multiple
- **Halyk sits ~21pp above the line:** at 2.3x revenue, peers' line implies a 53% margin; Halyk earns 74%
- **P/B vs ROE (bank-standard):** P/B = 0.93 + 0.037 x ROE (R2 0.24) implies 1.92x for Halyk vs 1.12x - but Kaspi drives the slope
- **Conclusion:** cheap on every relative screen; the gap is a country/governance discount we expect to narrow only partly

Blended value KZT449 (US$38.6); target US$38 rounded down for the overhang



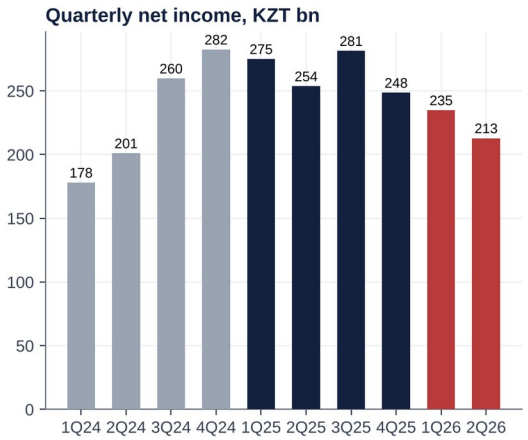
Our estimates. 2027E EPS KZT90.2, BVPS KZT388. Control value is theoretical - ALMEX holds ~62%.

Target build (12-month, KZT per share)

Method	Basis	KZT	US$/GDR
P/E	5.0x 2027E EPS (KZT90.2)	451	38.8
P/B	1.2x 2027E BVPS (KZT388)	466	40.1
Residual income	COE 19.5%, ROE fade to 21%, g 8%	431	37.0
Blend	Equal weights	449	38.6
Target	**Rounded down (ALMEX overhang)**	**442**	**38.0**

- FX: KZT465/US$ 12-month forward (spot 449); a 10% weaker tenge cuts US$ value ~9%
- Implied at target: 4.9x 2027E P/E, 1.14x P/B, 12.3% yield
- Dividends add ~US$4.3/GDR over 12 months

2026 is the trough: four regulatory hits at once, then ~9% EPS growth





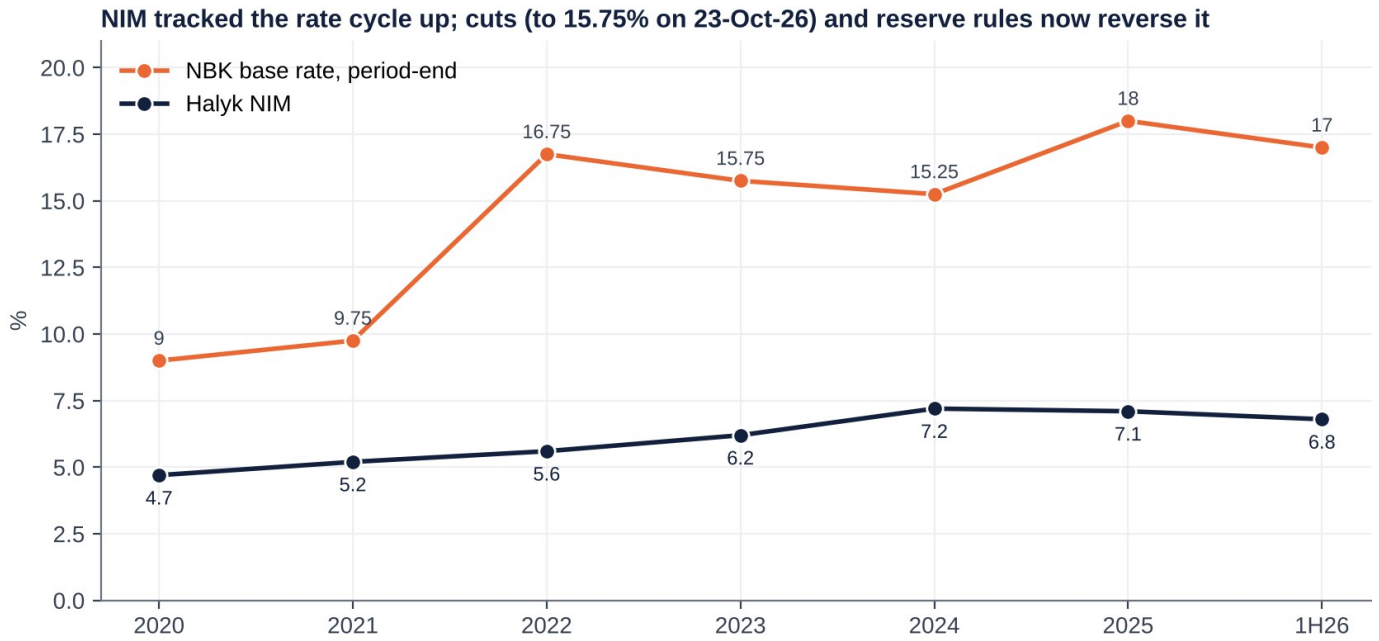
1Q24 includes KSF deposit one-off (-KZT66bn pre-tax). Source: Halyk releases; 1Q24-4Q24 derived from later growth rates [d]; 2Q24 = 1H24 less 1Q24; 2Q26 NIM ~6.7% [u]. 3Q24 NIM = 9M comparative.

KZT bn	FY25A	FY26E	FY27E	FY28E
Total op. income	1,760	1,638	1,805	1,964
Net income	**1,058**	**900**	**984**	**1,081**
EPS (KZT)	97.1	82.5	90.2	99.0
DPS (KZT)	58.19	49.5	54.1	59.4
ROAE	32.6%	24.7%	24.5%	24.1%
NIM	7.1%	6.75%	6.5%	6.4%
Company guide (NI)	-	~1,000	-	-
Consensus (NI) [u]	-	950-1,000	1,000-1,100	-

Our estimates [e]. 2H26 needs ~KZT552bn for guidance (~30% above the 2Q run-rate).

- 1H26: NI -15.3%; 2Q missed consensus by 13.7% and the lowest estimate by ~10%
- Drivers: MRR (-40bp NIM), BNPL/unsecured caps (fees -20%), insurance loss, CIT 25%
- We expect the KZT1trn guide to be cut at 9M26; the stock barely reacted to the 1H miss (-3%)

NIM rode the rate cycle up; cuts and reserve rules now reverse it



Source: Halyk releases (NIM), National Bank of Kazakhstan (base rate). 1H26 base rate = 30-Jun-26 level; 15.75% after 23-Oct-26 cut.

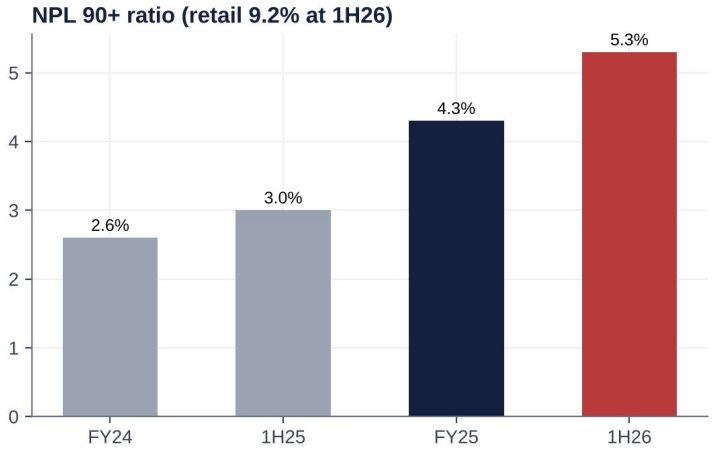
Why NIM falls in 2026-27

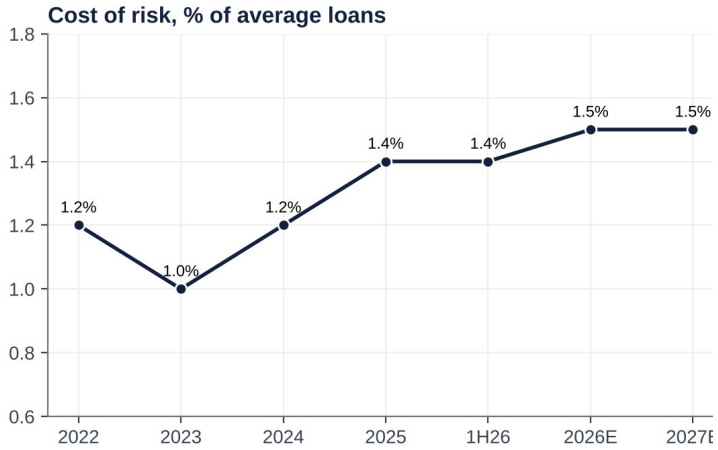
- **Reserve requirements:** three-stage MRR increase (Sep-25, Apr-26, Sep-26) sterilises ~KZT4.3trn system-wide; ~40bp drag
- **Rate cuts:** -225bp since June; floating corporate loans and NBK notes reprice before term deposits (avg 9.9%)
- **Mix:** BNPL/unsecured retail curtailed (GEIR cap 46%, 350% risk weights)

Why it should stabilise ~6.5%

- Deposit repricing lag works in Halyk's favour from 1H27
- Lowest-cost funding base (payroll, current accounts) in the system
- SME (+25%) and secured retail growth; each 10bp of NIM = ~KZT20bn PBT

NPL 90+ doubled to 5.3% - management says 'partly mechanical'





Source: Halyk releases, Freedom Broker notes [u]; 2026E-27E our estimates.

What we know

- NPL 90+ KZT715bn (5.3%) vs KZT358bn (3.0%) a year ago; retail 9.2%, SME ~5%, corporate 2.6% (coverage 123%)
- Stage 3 8.6%, coverage 58% [u] (from ~73%); provisions 5.0% of loans
- Moratorium on selling retail NPLs to collectors ran to 1-May-26 - inflating the stock of NPLs

What to watch at 9M26

- NPL sales or write-offs vs new formation
- CoR vs the 1.4-1.5% guide (we use 1.5%; bear 2.1%)
- ARDFM's Feb-26 sector review flagged reserve 'discrepancies' [u]

Over-capitalised and self-funding - the payout is safe, buybacks are token

19.0%

k1-1 = k2 (all CET1), 30-Jun-26; minimum 9.5% / 12.0% incl. buffers

16.5%

Equity / assets; loans / deposits ~94%; deposits ~81% of liabilities

~KZT850bn

Surplus capital over a ~14.5% operating target [e] = ~20% of market cap

2.54bn

Treasury shares (19% of issued) never cancelled; buybacks ~US$20m vs US$50m caps

Capital-allocation record

- **Good:** Kazkom (2017) for KZT2 after the state clean-up; exits from Russia/Tajikistan/Kyrgyzstan; payout raised from 30% to 60%
- **Poor:** BNPL/unsecured push into 2025 (retail NPL 9.2%); KSF deposit one-off (~KZT145bn pre-tax, 2024); Click deal (US$176m for 49%) lapsed
- **Unclear:** auditor switched to EY from 9M26; FY21 dividend first withheld (2022) then paid

Priorities we would push for

- 1. A CET1 target plus a special-dividend or tender mechanism for capital above it
- 2. Cancel the 2.54bn treasury shares
- 3. An orderly ALMEX sell-down to 51%, with the bank participating via tender (2011 precedent)
- 4. Per-person pay disclosure and an ROE/TSR-linked LTIP

No - ALMEX's ~62% blocks it; the controlling family's need for liquidity is the catalyst

~62%
ALMEX (Timur Kulibayev & Dinara Kulibayeva via Almex Holding Ltd, AIFC); 51% floor stated

~38%
Free float after the Nov-25 7.6% placement (from ~30.5%)

4 of 7
Independent directors (6 of 8 in 2024); chair no longer independent

0
Activist campaigns, proxy fights or FCA-disclosed short positions found

Why activism is hard here

- Every ordinary resolution passes on ALMEX's vote
- Systemic bank: any >10% holder needs ARDFM approval; political sensitivity
- Owners rely on dividends (ALMEX pays its owners ~KZT462bn) - payout already aligned

Where the pressure could come from

- ALMEX's own sell-down: placements need investor-friendly capital policy
- Index inclusion and free-float growth draw larger EM funds
- Governance asks: independent chair, pay disclosure, treasury-share cancellation
- Political tail: an independent director sits on the asset-recovery commission

No - control is not for sale; the realistic event is ALMEX selling down to 51%

Transaction	Date	Value	Multiple / read-across
ForteBank - Home Credit KZ	2025	~KZT172-274bn	~0.9-1.4x P/B; healthy retail
Kim - Jusan (Alatau City)	Jul-25	Undisclosed	Kaspi-linked capital enters
Lesha Bank (Qatar) - Bereke	Oct-24	KZT65bn	~0.40x P/B; forced exit
Bank of Georgia - Ameriabank	2024	US$303.6m	0.65x P/B, 2.6x P/E
Kaspi - Hepsiburada 65%	Jan-25	US$1.13bn	Kaspi exports its model
BCC - Alfa-Bank KZ	May-22	KZT50bn	~0.37x P/B; bargain
Halyk - Click 49% (lapsed)	Jul-25	US$176.4m	Uzbek fintech; not completed
ALMEX - 7.6% of Halyk	Nov-25	US$475m	~0.93x P/B, ~3.1x P/E

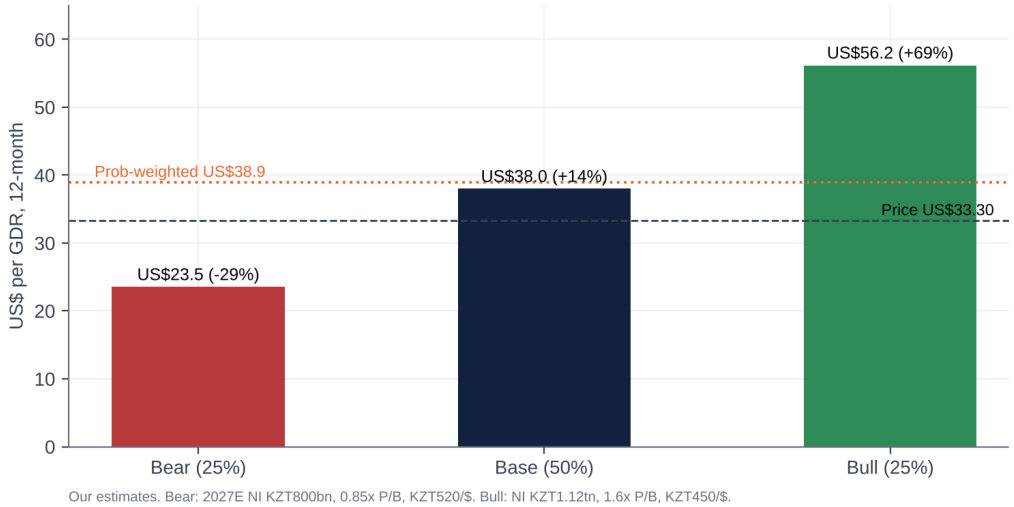
What a control price would look like

- Theoretical: 25-40% premium = 1.3-1.6x 2027E book = US$43-53/GDR (5.6-6.9x P/E) - a ceiling, above every regional precedent (0.4-1.4x)
- Impediments: 62% control and a 51% floor; D-SIB status; antitrust (only Kaspi is big enough); politics; size (US$9bn+)
- Plausible acquirers only in theory: Gulf-linked banks (Qatar bought Bereke) or China (CITIC owns 60% of Altyn)
- In order of likelihood: (1) ALMEX placements at ~10% discounts; (2) bank-funded tender alongside a placement; (3) strategic minority stake

Upside/downside skew ~2.4:1 - and the dividend cushions the bear case

	Bear (25%)	Base (50%)	Bull (25%)
Net income 2027E	KZT800bn (NIM 6.1%, CoR 2.1%)	KZT984bn (NIM 6.5%, CoR 1.5%)	KZT1,120bn (NIM 6.9%, CoR 1.2%)
Payout / DPS FY26	50% / ~KZT37	60% / KZT49.5	65% + special / ~KZT60+
Exit multiple	0.85x P/B (4.2x P/E)	1.14x P/B (4.9x P/E)	1.6x P/B (6.2x P/E)
USD/KZT	520	465	450
Per GDR	**US$23.5 (-29%)**	**US$38.0 (+14%)**	**US$56.2 (+69%)**
Plus 12-mo dividends	~US$3.0	~US$4.3	~US$5.0+

12-month scenario values (before ~US$4.3 of dividends)



Our estimates. Bear: 2027E NI KZT800bn, 0.85x P/B, KZT520/$. Bull: NI KZT1.12tn, 1.6x P/B, KZT450/$.

Reading the scenarios

- **Bear (25%):** guidance abandoned, CoR 2%+, payout cut to 50%, a bank levy, tenge to 520 - back to the 2022-24 average 0.85x book
- **Base (50%):** 2026 trough at KZT900bn, ~9% EPS growth from 2027, 60% payout, modest re-rating to 1.14x book
- **Bull (25%):** NIM holds ~6.9%, credit normalises, special dividend or tender alongside ALMEX's sell-down, 1.6x book
- Prob-weighted US$38.9 (+17%) before ~US$4.2 of dividends

Downside support: even in the bear case the FY26 dividend (~KZT37) yields ~10% on today's price, and P/B of 0.85x matches the 2022-24 average. **Upside driver:** a capital-return event (special dividend or tender from ~KZT850bn of surplus capital) alongside ALMEX's sell-down, plus re-rating as free float and index weight rise.

9M26 results and the ALMEX lock-up expiry dominate the next six weeks

9-NOV-26	**Kaspi.kz 3Q26 results**	Retail lending and payments read-across	MEDIUM
~13-19 NOV-26 [E]	**Halyk 9M/3Q26 results**	Fate of the KZT1trn guide; NIM after the Sep MRR step; NPL trend; dividend wording	HIGH
~25-NOV-26	**ALMEX lock-up expiry**	Block or placement size and discount; any bank participation	CRITICAL
4-DEC-26	**NBK base-rate decision**	NBK signalled a hold at 15.75%	MEDIUM
DEC-26 - FEB-27	**Budget / ARDFM measures**	Any bank levy; total-debt cap (8x income); large-loan limits	HIGH
FEB-27	**MSCI quarterly review**	Weight change from the higher free float	MEDIUM
MAR-27	**FY26 results and 2027 guidance**	NIM, CoR, ROE guide; payout	HIGH
APR-27	**AGM; 2% retail buffer fully phased**	FY26 first dividend tranche vs our KZT49.5 total	HIGH

What would make this thesis wrong

01 State taxes the franchise

A permanent bank levy, profit tax revival or forced lending as oil falls (NBK: US$75 in 2027, US$65 in 2028) pushes sustainable ROE to the high teens

02 Margin compression

Further cuts with sticky deposit costs (Freedom's pricing) take NIM to 6.0-6.2%: ~KZT100bn of PBT

03 Retail credit

Retail NPL 90+ of 9.2% proves real, not 'mechanical'; CoR of 2-2.5% for two years

04 ALMEX overhang

Repeated placements at wider discounts; or a reversal of the sell-down policy

05 Political tail

Owners are related to the former president; the asset-recovery law (2023); succession risk at both owner and CEO level

06 Tenge and dividend

10% devaluation cuts US$ value ~9%; a dividend cut (payout to 50%) removes the valuation anchor

INVESTMENT COMMITTEE DECISION

Recommendation: BUY

US$38.0	4.5x	13.2%	~27%
12-mo target (+14%)	P/E 2026E	FY26E yield	Expected total return

- Kazakhstan's dominant bank - 28% of assets, ~48% of corporate loans, the cheapest funding - at 4.5x 2026E earnings and 1.1x book for a ~25% ROE
- 2026 is the regulatory/tax trough (NI -15%); we are below guidance at KZT900bn and still see ~9% EPS growth from 2027
- A 60% payout is self-funded (19% CET1, ~KZT850bn surplus); the dividend gives a 13% yield and floors the bear case
- The ALMEX lock-up expiry (~25-Nov) is the entry point: Nov-25 placed at a ~10% discount and re-rated +31% within six weeks
- Main risks are policy, not competition - hence medium conviction and staged entry

Sizing & monitoring

Medium-conviction value/income position with an event overlay. One third now; add on the 9M26 print and any ALMEX placement.

Hard review triggers: dividend-policy change or payout below 50%; NIM below 6.4%; any bank profit levy; block above 5% at a >15% discount; political action against the owners.

Track separately: 9M26 results (mid-Nov), ALMEX lock-up (~25-Nov), NBK (4-Dec), 2027 budget measures, FY26 guidance (Mar-27).